

PROJECT PRICESENSE

Pricing Strategy Executive Memo
Data-Driven Pricing Optimization Framework

Prepared for: Executive Leadership Team

1. Data Sanitation & Pipeline Integrity Funnel

Executive Takeaway

Robust sanitization minimized transaction anomalies without compromising core consumer footprints.

- **Raw Transactions Logged:** 50,150 records.
- **Sanitized Fact Base:** 48,688 valid records remaining.
- **Cleaning Impact:** -2.91% anomalies removed (returns/entry faults).
- ✓ **Duplicates remaining:** 0.

2. Baseline Performance & The Value-Volume Paradox

Executive Takeaway

The portfolio is anchored by two engines: a mainstream volume driver and a high-ticket wholesale layer.

Volume Engine (\$10–\$19 Band):

- Transactions: 17,832
- Units Sold: 69,961
- Revenue: **\$1,001,554.07**

Revenue Value Anchor (\$100–\$149 Band):

- Transactions: 2,351
- Units Sold: 8,987
- Revenue: **\$1,144,422.03**

Strategic Paradox Resolution

High price bands reflect wholesale multi-pack checkouts, not consumer pushback.

3. Consumer Persona Penetration

Executive Takeaway

Cohorts show comparable sample sizes, allowing meaningful comparison of pricing behavior.

- **Budget Segment:** \$1.50M Revenue | High elasticity; volume at low price tiers.
- **Casual Segment:** \$1.47M Revenue | Moderate elasticity; values multi-pack convenience.
- **Fitness Segment:** \$1.42M Revenue | High-frequency volume; anchored in replenishment tiers.
- **Premium Segment:** \$1.36M Revenue | Inelastic; receptive to high-ticket wholesale bundles.

4. Geographic Context & Adjustments

Executive Takeaway

Tier 2 cities demonstrate pricing resilience comparable to Tier 1 markets.

- **Tier 1 (Volume Hubs):** \$2.21M Revenue | Avg Transaction: \$31.11.
- **Tier 2 (Premium Alpha):** \$1.76M Revenue | Avg Transaction: \$31.22. **Action: Enforce zero-discount controls.**
- **Tier 3 (Mass Market):** Avg Transaction: \$27.31. **Action: Target sub-\$25 price bands.**

5. Occasion Analytics & Contextual Spikes

Executive Takeaway

Late-Night ordering acts as a massive baseline engine, while festive periods yield high pricing power.

- **Late-Night Revenue:** \$1.53M (Primary volume driver).
- **Religious-Fasting Revenue:** \$844K (Secondary high-intent spike).
- **Daily Snack Revenue:** \$668K.

Operational Command

Shift ad spend to late-night channels; test premium pricing during festive/fasting windows.

6. Pricing Policy Map

Executive Takeaway

Context-driven evaluation extracts willingness-to-pay shifts to establish dynamic price guardrails.

- **Budget / Tier 1 / Daily Snack: Target Price: \$50**
- **Budget / Tier 1 / Festive Spike: Target Price: \$140**
- **Budget / Tier 2 / On-The-Go: Target Price: \$140**

7. Strategic Launch Roadmap & Expected Impact

Executive Takeaway

Execution drives measurable margin expansion and premium positioning.

- **Roadmap:** Renegotiate Tier 2 discounting; focus late-night ad spend; launch premium variants; wholesale bundling.
- **Impact:** Better segmentation, margin management, premium positioning, and increased occasion conversion.

Appendix: Analytics Limitations

Executive Takeaway

Acknowledging model constraints ensures calibrated risk management.

- **Historical Nature:** Observed transactional data, not experimental outcomes.
- **Customer Tracking:** Absence of individual repeat-purchase history.
- **Simulation:** Pricing policy based on observed high-revenue states, not live A/B test validation.